

Economic activity in the manufacturing sector expanded in March, and the overall economy grew for the 94th consecutive month, say the nation's supply executives in the latest Manufacturing ISM® Report On Business®.

The March PMI® registered 57.2 percent. The New Orders Index registered 64.5 percent, a decrease of 0.6 percentage point from the February reading of 65.1 percent. The Employment Index registered 58.9 percent, an increase of 4.7 percentage points from the February reading of 54.2 percent. Inventories of raw materials registered 49 percent, a decrease of 2.5 percentage points from the February reading of 51.5 percent. The Prices Index registered 70.5 percent in March, an increase of 2.5 percentage points from the February reading of 68 percent, indicating higher raw materials prices

for the 13th consecutive month. Consistent with generally positive comments from the panel, 17 out of the 18 industries reported growth in March in the following order: Electrical Equipment, Appliances & Components; Printing & Related Support Activities; Furniture & Related Products; Textile Mills; Machinery; Primary Metals; Miscellaneous Manufacturing†; Wood Products; Nonmetallic Mineral Products; Plastics & Rubber Products; Paper Products; Transportation Equipment; Chemical Products; Computer & Electronic Products; Food, Beverage & Tobacco Products; Fabricated Metal Products; and Petroleum & Coal Products.

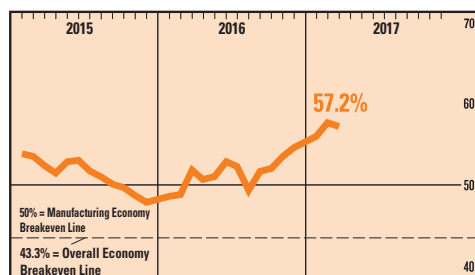
PMI® @ 57.2%

†Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).

MANUFACTURING AT A GLANCE

Index	Mar Index	Feb Index	% Point Change	Direction	Rate of Change	Trend* (months)
PMI®	57.2	57.7	-0.5	Growing	Slower	7
New Orders	64.5	65.1	-0.6	Growing	Slower	7
Production	57.6	62.9	-5.3	Growing	Slower	7
Employment	58.9	54.2	+4.7	Growing	Faster	6
Supplier Deliveries	55.9	54.8	+1.1	Slowing	Faster	11
Inventories	49.0	51.5	-2.5	Contracting	From Growing	1
Customers' Inventories	47.0	47.5	-0.5	Too Low	Faster	6
Prices	70.5	68.0	+2.5	Increasing	Faster	13
Backlog of Orders	57.5	57.0	+0.5	Growing	Faster	2
New Export Orders	59.0	55.0	+4.0	Growing	Faster	13
Imports	53.5	54.0	-0.5	Growing	Slower	2
OVERALL ECONOMY				Growing	Slower	94
Manufacturing Sector				Growing	Slower	7

*Number of months moving in current direction. Manufacturing ISM® Report On Business® data is seasonally adjusted for the New Orders, Production, Employment and Supplier Deliveries Indexes.



PMI®

Manufacturing expanded in March as the PMI® registered 57.2 percent, a decrease of 0.5 percentage point from the February reading of 57.7 percent, indicating growth in manufacturing for the seventh consecutive month. A reading above 50 percent indicates that the manufacturing economy is generally expanding; below 50 percent indicates that it is generally contracting. The past relationship between the PMI® and the overall economy indicates that the average PMI® for January through March (57 percent) corresponds to a 4.3 percent increase in real gross domestic product on an annualized basis.

COMMODITIES REPORTED

Commodities Up in Price: Acetone; Acrylates; Aluminum (5); Butadiene (3); Caustic Soda (2); Copper (5); Corrugate (6); Corrugated Boxes; Corrugated Packaging; Foam; HDPE; Nylon; Plastic Resin; Polypropylene (2); Rubber – Natural (2); Scrap Metal (2); Stainless Steel (12); Steel (15); Steel Tubing (2); Steel – Carbon (4); Steel – Cold Rolled (5); Steel – Hot Rolled (4); and Titanium Dioxide (4).

Commodities Down in Price: None.

Commodities in Short Supply: Capacitors; Electronic Components; and Methacrylates.

Note: The number of consecutive months the commodity is listed is indicated after each item.